

Similarly, there are other turnover ratios such as:

Account Receivables Turnover

Formula: **Revenue / Account Receivable**

$$\text{Account Receivables Turnover} = \text{Rs. 6410 Cr.} / \text{Rs. 1861 Cr.} = 3.6 \text{ Times}$$

This is how we can calculate the efficiency of a company's account receivable.

Next, we can take revenue/inventory.

Hence, we can pick items from either asset or liabilities side to determine how efficiently a company uses them.

When we revisit the morning star website, where the efficiency ratios are present.

We have to analyze four ratios, namely: Total assets turnover, Fixed asset turnover, Receivable turnover, and Inventory turnover. We can understand and evaluate the trends in the same and draw conclusions about the trends in performance.

Talking about the inventory turnover, it has also decreased, i.e. that inventory has also decreased which might be because of COVID, but we won't know for sure until the evaluation stage.

.3 Day Sales Outstanding

Formula: **Number of days in a year / Asset Receivable Turnover**

$$\text{Day Sales Outstanding} = 365 / 3.6 = 100 \text{ days}$$